

CASE STUDY ANALYSIS OF NATIONWIDE BOOK PUBLISHING SCAM

BSIT-3B

Submitted By:

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I. Background of the Case

A defendant pleads guilty of being involved in a \$48 Million Nationwide book publishing scam that victimized over 800 victims throughout the United States with other three co-conspirators. The individual admits of doing the fraudulent activity targeting the aspiring authors and impersonating as legit agents and claimed to be a book publishing and motion and sound recording businesses.

II. Main Problem

The conspirators deceived the victims by promising that their work had been selected for acquisition by famous publishers and motion studios and convinced them to pay various fees before their work could be published or used by the studios. They also disguise themselves as legitimate agents or executives from known publishers, motion pictures, and video streaming like Netflix, Orions Media, and Universal Pictures.

III. Stakeholders Involved

Two of the conspirators are Filipinos, Michael Sordilla, the CEO and founder of Innocentrix, a bpo company located in the Philippines, Bryan Tarosa, the Vice President Operations of the same company, Gemma Austin and Micheal Austing from Chula Vista, CA. Michael is the first to plead guilty for a \$44-million fraud scheme targeting over 800 aspiring authors, especially seniors from the United States. He uses his company and sales representatives to contact victims and pretend to be legit agents from PageTurner. They are now in custody and to be sentenced.

IV. Ethical Issues

The case involves several ethical issues. First, the conspirators deceived people by falsely claiming that their books had been selected by major publishers and movie studios. Second, they pretended to be legitimate literary agents and representatives of well-known companies to gain the victims' trust. Third, they took advantage of aspiring authors, especially senior citizens, by exploiting their dreams of becoming successful writers for financial gain. They also created fake businesses and provided false information to make their operations appear legitimate. Lastly, they misused technology and business practices to deceive people instead of providing honest services.

V. Legal Issues

The possible laws or crimes involved are Mail and Wire Fraud – Title 18, U.S.C., Section 1349 and Launder Monetary Instruments – Title 18, U.S.C., Section 1956(h). Section 1349 involves using wire communications including mail to scheme or defraud someone for money, the maximum penalties for this includes twenty years in prison and a fine of 250,000USD. The section 1956 is about laundering with penalties of 20 years in prison and maximum fine of 500,000USD or twice the amount laundered.

VI. Analysis and Discussion

1. Was the PageTurner / Innocentrix Philippines case simply an aggressive business strategy, or was it a clear example of unethical and fraudulent conduct? Defend your answer using specific details from the case.

The case is not simply a business strategy but unethical and fraudulent because based on the site of US Attorney's Office, a Filipino founder and CEO of a known BPO company here in Mandaue among his co-conspirators did the most disgusting thing, scamming poor aspiring authors and targeting their hopes and dreams. They told the victims that their works had been selected for acquisition by famous publishers and movie studios like Netflix and asked the victims to send money to them for the taxes and transaction fees. They also run many fake businesses in order to build trust and make the victims feel that they came from a real company. Furthermore, they also pretend to be someone from major publishers, motion picture studios, and popular video streaming services. This is surely unethical, this case can cause loss of trust and bad reputation to the company and to our country, the Philippines.

2. Discuss how technology can be used both to build trust and to deceive people.

Nowadays, with the advancement of technology and Artificial Intelligence we can create activities that are either good or bad to society. Technology can be used to create fake accounts, find identities online and pretend to be that individual, and create websites for phony businesses to show fake activities.

3. If you were a manager or IT employee in a company involved in this type of scheme, what ethical responsibilities would you have? What would be the right course of action?

If I am an employee of that company then I resign immediately because the company's reputation is now damaged. I don't want to work in a company where the CEO is the first one to violate the code of ethics. I am ashamed and disgusted by his actions! In addition, after the news came that our CEO is a fraud and involved in a scheme people outside would think that all of the employees are also scammers.

4. Must businesses choose between profit and ethics? Explain your answer using this case as an example.

I think businesses should choose ethics over profit because relating to the case, the company scams over 800 aspiring authors to gain profit but as a result they were caught, lost the trust of the public, and damaged reputation for the company in the Philippines. If we choose not to scam other people then they will trust us more and pay more for our services.

5. How does this case show the importance of ethical decision-making in the IT and business environment?

In the case of Mr. Michael Sordilla, he chose to deceive other people to gain profit, he is selfish and was blinded by money. As a result, he was caught and sentenced by the authorities to a maximum of twenty years in prison. This should be a lesson to us that making right decisions and choosing good are important to avoid negative outcomes like losing trust and damaging our reputation.

VII. Recommendations

To avoid similar cases, people should be wary and check the validity of information they will receive especially online because in today's era technology has become a tool for doing scams. In addition, companies should promote and value ethical business practices that are applicable to all, not just the employees.

VIII. Lessons Learned

This case demonstrates that unethical conduct may provide short-term financial gain but often results in severe legal consequences. It also shows how technology can be misused to create convincing scams that exploit people's hopes, dreams, and trust. In addition, people should avoid trusting everything they see or receive online, as some information or emails may be deceptive.

IX. References

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